

Public acceptance of road pricing; Does it matter?

Bjørn Gjerde Johansen, Farideh Ramjerdi* (fra@toi.no),

* Corresponding author

Institute of Transport Economics, Oslo Norway

Road pricing has been discussed in the context of two objectives: improving resource allocation and financing the expansion of the capacity of the road network. Financing transport infrastructure by means of toll revenues in the traditional sense has a history that dates back about 85 years in Norway. Since 1986, when toll rings were implemented in Bergen, followed by Oslo in 1990 and Trondheim in 1991, there has been a dramatic shift in the location of toll financed projects from the countryside to urban areas.

The growing interest in alternative financing schemes has been a response to the limited public funds to cope with increasing problems in financing road investments at the different levels of government in Norway as in many other countries. The grants from the central government that supplement toll revenues have been an additional incentive to local politicians in the larger urban areas to initiate toll financing of road projects.

The contribution from toll financing schemes to the total funds for transport infrastructure has increased to about 50 percent and the scheduled projects for financing by tolls are almost complete. It is apparent the Norwegian urban tolls have successfully achieved more than their original goals. The Norwegian tolls are approved for only a limited period, usually 15 years. There is now a growing interest in redefining the objectives of the Norwegian urban tolls, from a merely financing scheme, to an instrument in an integrated package of instruments to address transport externalities.

Political and public acceptance and institutional setup are recognised among barriers to widespread adoption of road pricing internationally. While road pricing never gained a majority public support in Norway, it has widely been adopted in urban areas in Norway. The political support and institutional setup in Norway have been more important for the wide adoption of urban toll scheme.

Most studies focus on public attitude. Goodwin and Lyon (2012) recognise that public attitudes to transport are complex. They suggest that the wording of the questionnaire has impact on public response. They also recognise that “travel choices are rooted in the structure of activities undertaken by individuals and families, it follows sensibly that attitudes to transport must also be rooted in deeper values and aspirations of how people want to lead their lives”. Börjesson et al (2011) provide a review of literature on change in public attitude towards urban toll scheme. One of the reasons that they cover in their review is attributed to cognitive dissonance that boils down to “accept the unavoidable”. This phenomenon is remarkably present in public acceptance of the schemes in Oslo and Trondheim. The public opposition to the schemes mellows down over time, however as soon as there is a discussion of a change in the system it reignites the public opposition to the schemes.

Russo (2013) suggests that political acceptability (and institutional setup) is perhaps the greatest hindrance to the implementation of toll scheme. He points out to the experiences in Edinburgh, Manchester, New York City and Copenhagen while London, Stockholm and Milan demonstrated both the political feasibility and effectiveness of the policy. His examination of these cases suggests that chances of adoption of road pricing is not great if it is under the control of governments representing more than just city voters. In recent cases of successful introduction of road tolls (i.e., London, Stockholm and Milan) city governments seem to have been decisive. Experience was less favourable in cities where they were not. As examples, one can mention Copenhagen as well as New York City where road pricing was approved by the City Council to be blocked by the State Assembly. Russo points out that parking fees are a related case.

The examination of the success in implementation of urban toll scheme in Norway support Russo's theory both related to political support and institutional setup, in spite of public opposition.

The focus of this paper is an evaluation public opinion in Oslo and Trondheim as well as political support and institutional setups.

We analyse the public opinion surveys conducted annually by the Public Roads Administration since 1989 in Oslo and apply latent class and latent variable models to the data collected in 2013. This is to identify the classes that were for, against or neutral to the toll scheme as well as understanding attitudinal variables that could explain their acceptance or rejection of the scheme. The toll scheme in Trondheim was abandoned in 2005, to be reintroduced in 2010, but not as a cordon toll. It was significantly modified in 2010, with respect to toll fee and extension of the toll stations to form a cordon toll, almost similar to the scheme that was abandoned in 2005, as an environmental scheme. A public opinion survey was conducted by in the spring of 2014. A similar analysis has been preformed on the data collected in this survey in Trondheim.

The public opinion survey in Trondheim has not been conducted annually as in Oslo. However an analysis of the public opinions in Oslo and Trondheim suggests that cognitive dissonance can explain the mellowing of public opinion towards toll schemes.

We examine the political and institutional setups in Norway and attribute the success in implementation of the urban cordon tolls to these factors.

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References

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